

RELEVANCE OF ECONOMICS IN BUSINESS

CHAPTER OVERVIEW

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1.1 PRELUDE

In day-to-day life, economics plays an important role in everyone's life because of making choice out of many and even unlimited wants with a limited resources in hand. Every one feels unsafe due to the fact that the need is limitless like sands in the river but income is limited with alternative uses. Like an individual, the business organisation as well as Government face the same problem of choice. The choice of what to produce, how to produce and for whom to produce. These three problems relate to three field of economics such as consumption, production and distribution. Consumption is a basic problem of household, when production is a basic problem of firm or business organisation. Distribution makes a liason between the two (household and firm). While factors of production like land, labour, capital and organisation are the members of household, they are also necessary as factors of production. Hence every factor is a consuming unit as well as a producing unit. They go to firm to get employed and work with skill and efficiency to produce more at less cost, they return home with their rewards (Rent, Wage, Interest and Profit) as income to spend on what they produced in firm to meet their requirement of life. So one man's expenditure is another men income. This is the very fundamentals of Economics.

1.2 ECONOMICS AS A BRANCH OF STUDY

Ther term 'Economics' owes its origin to the Greek word **'Oikonomia'**, which itself is derived from two Greek words 'Oikos' (meaning household) and 'nomos' (meaning management law). Therefore 'Oikonomia' essentially means household management. The term 'Oikonomia' was used by ancient Greek philosopher Aristotle. Till 19th century, Economics known as 'Political Economy'. Overtime, the concept of economics expanded from managing a household to encompass the management of a state's wealth and eventually to the broader study of resource allocation and human behaviour related to wealth.

The book named 'An equiry into the nature and causes of the Wealth of Nations (1776) usually abbreviated as 'The Wealth of Nation' by **Adam Smith** is considered as the first modern work of Economics. Hence Adam Smith is considered as 'Father of Economics'. But this book emphasided the activity that produce and acquire wealth or goods in material form are taken as economic activity. He explored how nations produce, distribute and exchange wealth with a strong emphasis on the role of individual self-interest and free markets in driving economic prosperity.

In 1890, **Alfred Marshall** defined economics as a study of mankind in the ordinary business of life in his book **'Principles of Economics'**. He emphasised on the economic activity of human centric approach to achieve material welfare beyond acquiring wealth.

In 1932, **Lionel Robbins** defined 'Economics as a social science that studies human behaviour as a relationship between unlimited ends and scarce means that have alternative uses. Hence he emphasised that -

- Economics is a science.
- The wants of a human being are unlimited.
- The resources are limited and have alternative uses.
- There is problem of choice making for efficient of resources.
- It is necessary for optimisation i.e., best allocation of resources.
- This definition is otherwise known as 'scarcity and choice' definition.

From Leonel Robbins definition, we find two factors - Unlimited wants and scarce resources.

So, resources have two main characteristics.

→ Resources are scarce when compared to wants.

→ Scarce resources have alternative uses.

Choice making needs to be done because of above two features of the resources. Choice making made in a rational manner can make rational use of limited resources so that maximum satisfaction can be obtained out of scarce resources. It is called **'Economising the use of scarce resources.'**

Scarcity refers to the situation where demand for the resources (wants) is more than the supply of resources. Hence, **scarcity leads to the choice making. Scarcity is the root cause of all economic problems.** Resources always remain scarce because wants always exceed resources. If we increase the resources, simultaneously wants will increase and will remain in excess of the resources.

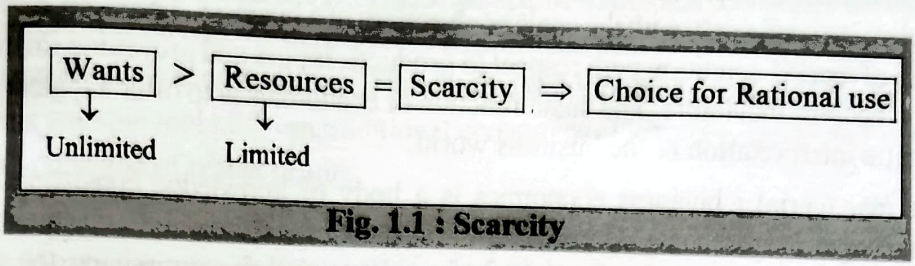


Fig. 1.1 : Scarcity

Choice of rational use of resources leads to **efficiency**. Efficiency here means that outcome of allocation of resources is such that it is impossible to make anybody better off without making somebody else worse off.

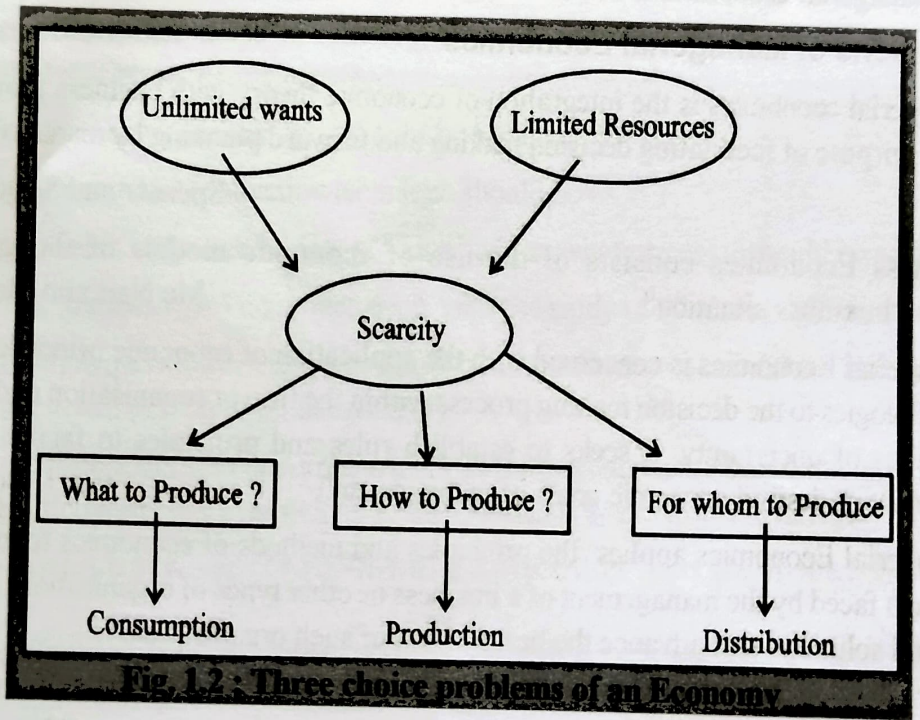


Fig. 1.2 : Three choice problems of an Economy

So Economics - may be micro economics or macro economics always revolves round these three problems for rational use of resources. Thereby maximum benefits can be accrued to an individual or a country from scarce resources. This is what we call 'economising the use of scarce resources'. Economics give principles in micro and macro economics to optimise resource allocation.

1.3 BUSINESS ECONOMICS

Business economics or marginal economics is concerned with the application of economic theory and methods to the analysis of decision making problems faced by business firms. The emergence of managerial economics as a separate branch of economics study is a recent phenomenon and can be attributed to the following three factors.

(a) Growing complexities in the business decision making process due to the rapid expansion of business, changing market condition and business environment.

(b) Application of economic theory, logic, concepts and analytical tools for decision making and

(c) Growing demand for professionally trained managerial manpower.

Business managers apply economic theories, concepts and analytical tools to find out solutions to problems in conformity with the goals or objectives of a business. Therefore, a comprehensive analysis of market condition with respect to products, inputs and prevailing financial markets has now become inevitable. The basic function of economics is to offer a logical analysis and systematic interpretation of the business world.

Hence, managerial / business economics is a body of knowledge consisting of economic concepts, logic and reasoning, economic laws and theories and tools and techniques for analysing economic phenomena, evaluating economic options and for optimising the allocation of resources.

A look at some representative definitions of managerial economics would help in comprehending what managerial economics is about.

1.3.1 Definitions of Managerial Economics

"Managerial economics is the integration of economic theory with business practices for the purpose of facilitating decision making and forward planning by management'.

– Spencer and Seigelman

"Business Economics consists of the use of economic models of thought to analyse business situation". – Mc Nair and Meriam

"Managerial Economics is concerned with the application of economic principles and methodologies to the decision making process within the firm or organisation under the conditions of uncertainty. It seeks to establish rules and principles to facilitate the attainment of desired economic goals of management". – Evan J. Douglas

"Managerial Economics applies the principles and methods of economics to analyse problems faced by the management of a business or other types of organisations and to help find solutions that advance the best interest of such organisations".

– Davis and Chang

"Managerial Economics refers to the application of economic theory and the tools of analysis of decision science to examine how an organisation can achieve its aim or objective most efficiently". – Salvatore

These definitions give a broader view of the nature managerial economics. Based on thes definitions, it can be understood, more comprehensively, that managerial economics analyse business conditions with the objective of finding an appropriate solution to business problems Hence the field of business economics addresses economic principles, strategies, standar business practices, the acquisition of necessary capital, profit generation, the efficiency o production and over all management strategy. Business economics also includes the study o

external economic factors and their influence on business decision such as a change in industry regulations or a sudden price shift in raw materials. Business Economics, is also called Managerial Economics, is the application of economic theory and methodology to business.

1.3.2 Features of Business Economics

1. Business economics is concerned with those aspects of traditional economics which are relevant for business decision making in real life. These are adapted or modified with a view to enable the managers take better decisions. Thus business economics accomplishes the objective of building a suitable tool kit from traditional economics. Therefore, Business Economics is of new discipline and of recent origin.
2. It also incorporates useful ideas from other disciplines such as psychology, sociology etc. If they are found relevant to decision making. In fact, business economics takes the help of other disciplines having a bearing on the business decisions in relation various explicit and implicit constraints subject to which resource allocation is to be optimised. So it is highly specialised and deals with separate branch of economics.
3. Business economics helps in reaching a variety of business decisions in a complicated environment. Certain examples are -
   (i) What products and services should be produced ?
   (ii) What input and production technique should be used ?
   (iii) How much output should be produced and at what prices of should be sold ?
   Thus, the business economics deals with the study of allocation of resources.
4. It is also known as study of decision making because business economics makes a manager a more competent person to think rationally.
5. Normative economics is concerned with describing what should be the things to be produced. Business Economics is a normative science which is prescriptive in nature.

1.3.3 Difference between Traditional Economics and Business Economics

Fig. 1.3

Traditional Economics or Economics	Managerial Economics or Business Economics
1. Economics is more comprehensive and wider in scope.	1. Business economics is too narrow and has limited scope.
2. Economics is concerned with body of principles.	2. Business economics deals with the application of economic principles to the problems faced.
3. Micro and macro economics are included in Economics.	3. Business economics is only micro in nature.
4. Economics is based on number of assumptions.	4. The scope of assumption are limited as it is concerned with application of theories.

5. Economics is both positive and normative science.	5. Business economics is mainly a normative science.
6. General economic problems are covered under economics.	6. Problem of a firm is studied under business economics.
7. Model building is the main function of the economists.	7. Decision making and forward planning is the main function of the business economists.

1.3.4 Role of Business Economist

Decision making is an integral part of today's business management. Making a decision is one of the most difficult task faced by a business economist. Business economists performs various roles as follows.

(a) Identifying various business problems.

(b) Providing a quantitative base for decision making and forward planning.

(c) Act as a thinker.

(d) Act as an economic advisor to the firm.

(e) Respond to the dynamic changes taking place in market situation.

Managerial economics deals with allocating the scarce resources in a manner that minimises the cost. Managerial economics has a narrow scope than general economics - micro and macro economics. Wherever, there are scarce resources, managerial economics ensures the managers to make effective and efficient decisions concerning customers, suppliers, competitors as well as within an organisation. The fact of scarcity of resources gives rise to three fundamental questions.

(a) What to produce ?

(b) How to produce ?

(c) For whom to produce ?

1.3.5 Nature of Business Economics

The economic world is extremely complex as there is a lot of interdependence among the decision and activities of economic entities. Economic theories are hypothetical and simplistic in nature as they are based on economic models built on simplifying assumptions. Therefore usually, there is a gap between the proposition of economic theory and happenings in the real economic world in which the managers make decisions. Business economics enables application of economic logics and analytical tools to bridge the gap between theory and practice.

The following points will describe the nature of Business economics.

(a) Business Economic is a science : Science is a systematized body of knowledge which establishes cause and effect relationships. Business economics integrates the tools of decision sciences such as mathematics, statistics and Economists with Economic Theory to arrive at appripriate strategies for achieving the goals of the business enterprises. It follows scientific methods and empirically tests the validity of results.

(b) **Based on Micro Economics :** Business Economics is based largely on micro-Economics. A business manager is usually concerned about achievement of the pre-determined objectives of his organisation so as to ensure the long-term survival and profitable functioning of the organisation. Since Business Economics is concerned more with the decision making problems of individual establishments, if relies heavily on the techniques of Micro economics.

(c) **Incorporates elements of Macro Analysis :** A business unit does not operate in a vaccum. It is affected by the external environment of the economy in which it operates such as the general price level, income and employment levels in the economy and government policies with respect to taxation, interest rates, exchange rates, industries, distribution, wages and regulations of monopolies. All these are components of macro economics. A business manager must be acquainted with these and other macro economic variables, present as well as future, which may influence his/her business environment.

(d) **Business Economics is an Art :** Since it involves practical application of rules and principles for attainment of set objectives, it is as Art.

(e) **Use of Theory of Markets and Private Enterprises :** Business Economics largely uses the theory of markets and private enterprises. It uses the theory of firm and resource allocation in the back drop of a private enterprise economy.

(f) **Pragmatic in Approach :** Micro economics is abstract and purely theoretical and analyses economic phenomena under unrealistic assumptions. In contrast, Business economics is pragmatic in its approach as it tackles practical problems which the firms face in the real world.

(g) **Interdisciplinary in Nature:** Business economics is interdisciplinary in nature as it incorporates tools from other disciplines such as Mathematics, Operation Research, Management Theory, Accounting, Marketing, Finance, Statistics and Econometrics.

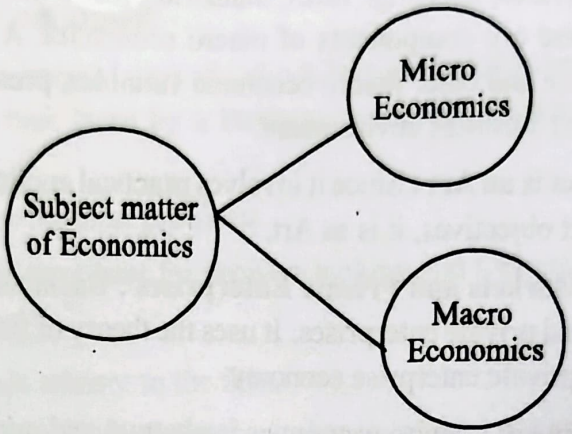
(h) **Normative in Nature :** Economic Theory has developed along two lines - positive and normative. A positive or pure science analyses cause and effect relationship between variables in an objective and scientific manners but it does not involve any value judgement. In other words, it states "What is" of the state of affairs and not what "ought to be". In other words, it is descriptive in nature in the sense that it describes the economic behaviour of individuals or society without prescriptions about the desirability or otherwise of such behaviour. As against this, a normative science involves value judgements. It is prespective in nature and suggests "what should be" a particular course of action under given circumstances. Welfare considerations are embodied in normative science.

Business economics is generally normative or prescriptive in nature. It suggests the application of economic principles with regard to policy formulation, decision-making and future planning. However, if the firms are to establish valid decision rules, they must thoroughly understand their environment. This requires the study of positive or descriptive economic theory. Thus Business economics combines the essentials of normative and positive economic theory, the emphasis being more on the former than the later.

1.3.6 Micro and Macro Economics

We have discussed Business Economics is based largely on micro-economics and also incorporates elements of macro economics. Hence it is necessary that a clear-cut understanding of the two is necessery. Rugnar Frisch of Oslo University classifies economics into micro and macro economics.

Economics has been broadly divided into two major parts - Micro Economics and Macro Economics.



Micro Economics is basically the study of the behaviour of different individuals and organisations within an economic system. In other words, micro economics examines how the individual units (consumers or firms) make decisions as to how efficiently allocate their scarce resources. The focus is on a small number groups of units rather than all the units combined and therefore, it does not explain what is happening in the wider economic environment.

The scope of micro economics or the field of study of micro economics are -

(a) Consumer behaviour

(b) Producer behaviour

(c) Cost analysis

(d) Product pricing,

(e) Factor pricing

(f) Behaviour of firm, etc.

Macro Economics is the study of the overall economic phenomena of the economy as a whole, rather than its individual parts. Accordingly, in macro economics, we study the behaviour of the large economic aggregates, such as the overall levels of output, employment, total consumption, total saving, total investment, budget, expert, import, foreign investment and also how these aggregates shift over time. It analyses the overall economic environment in which the firms, governments and households operate and make decisions. The areas of study under macro economics are -

(a) National income

(b) General price level and interest rate

(c) Balance of payment and balance of trade

(d) External value of currencey,

(e) Aggregate consumption, saving and investment,

(f) Level of employment and rate of economic growth.

Business Economics embraces the principles of micro and macro economics, but it is largely based on micro economics, but incorporates macro economics as it is operated in a country where it is established. Macro economics analysis the background of economic conditions in an economy which will immensely influence the individual firm's performance as well as its decisions. Business firms need a thorough understanding of the macro economic environment in which they have to function. Knowledge regarding inflation, interest rate will be beneficial to business managers to frame suitable policies. Moreover, the long-run trends in the business world are determined by prevailing macro economic factors.

Difference between Micro Economics and Macro Economics

Fig. 1.4

Basis	Micro Economics	Macro Economics
1. Scope of study	Individual economic unit such as individual consumer, individual firm, individual household, etc.	Economy as a whole.
2. Term origin	Greek work 'Mikros' meaning small.	Greek word 'Makros' meaning large.
3. Determines	Determination of output and price for individual consumer of firm.	Determination of aggregate output and general price level for the economy as a whole.
4. Also known as	Theory of price.	Theory of income and employment.
5. Tools	Demand and supply of a particular goods or factor.	Aggregate demand and aggregate supply of the economy.
6. Constant variables (Assumption)	Assumes macro variables remain constant.	Assumes micro variables remain constant.
7. Example	(a) Demand and supply for goods. (b) Factor pricing.	(a) National income. (b) Inflation or general price level.

1.3.7 Positive and Normative Economics

We have seen that Business Economics is applied Economics in the sense that it considers general economic principles in framing decision making. Again Business economics also upholds the welfare element for long-term survival of business firms. Hence business economics involves both descriptive and perspective aspects.

Rightly **Joel Dean** observed "Business Economics in terms of the use of economic analysis in the formation of Business policies. Business Economics is essentially a component of Applied Economics as it includes application of selected quantitative techniques such as linear programming, Regression analysis, capital budgeting, breakeven analysis and cost analysis."

Positive economics deals with economic issues related to **past, present and future and their effects.**

Normative economics deals with the opinions of the economists related **to solutions of the various economic issues.**

Difference between Positive Economics and Normative Economics

Fig. 1.5

Basis	Positive Economics	Normative Economics
1. Meaning	It deals with the study of the cause effect relationship of economic issues.	It deals with the study of value judgement and explains how the economic problems should be solved.
2. Related to	It relates to "What was, what is and What would be" ?	It relates to "What ought to be".
3. Nature of statements	May be **true or false.** Not necessarily truth.	These statements are **opinions** only. These can not be labelled as true or false.
4. Advocated by	Lionel Robbins	Alfred Marshall
5. Verification	Can be verified with **actual data**	Can not be verified with actual data. It is only a **welfare** aspect.
6. Examples	Developing countries have hunger problems.	Govt. should take steps to mitigate the hunger problems.

1.4 SCOPE OF BUSINESS ECONOMICS

The scope of Business economics is quite wide. It covers most of the practical problems that a manager or a firm faces. There are two categories of business issues to which economic theories can be directly applied, namely -

1. Internal issues or operational issues (this can be solved by using micro economics).

2. External issues or envirionmental issues (this can be solved by using macro economics).

We will discuss these two one by one.

1. Micro Economics Applied to Internal or Operational Issues.

Operational issues include all those issues that arises with in the organisation and fall with in the purview and control of the management. These issues are internal in nature. Issues related to choice of business and its size, production decision, technology and factor combinations, pricing and sales promotion, financing and management of investment and inventory are a few examples of operational issues. These following micro economic theories deals with most of these issues.

(a) Demand Analysis and Fore Casting : Demand analysis pertains to the consumer behaviour in the market. It studies the nature of consumer preferences and the effect of changes in the determinants of demand such as price of the commodity, consumer's income, price of related goods, consumer's taste, habit, preference and fashion, population size, advertisement etc.

Demand forecasting is the technique of predicting future demand for goods and services on the basis of the past behaviour of factors which affects demand. Accurate forecasting is essential for a firm to enable it to produce the required quantities at the right time and to arrange, well in advance, for the various factors of production viz. raw materials, labour, machines, equipment, building etc. Business Economics provides the manager with the scientific tools which assist him forecasting demand.

(b) Production and Cost Analysis : Production theory explains the technical relationship between inputs and output. A business economist has to decide on the optimum size of output, given the objective of the firm. He has also to ensure that the firm is not incurring undue cost. Production analysis enables the firm to decide on the choice of appropriate technology and selection of least-cost input mix to achieve technically efficient way of producing output, given the inputs. Cost analysis enables the firm to recognise the behaviour of costs when variables such as output, time period and size of plant change. The firm will be able to identify ways to maximise profits by producing the desired level of output at the minimum possible cost.

(c) Inventory Management : Inventory management theories pertain to rules that firms can use to minimize the cost associated with maintaining inventory in the form of 'work-in-process', raw materials and finished goods. Inventory policies affect the profitability of the firm. Business economists use methods such as ABC analysis, simple simultation exercises and mathematical models to help the firm maintain optimum stock of inventories.

(d) Market Structure and Pricing Policies : Analysis of the structure of the market provides information about the nature and extent of competition which the firms have to face. This helps in determining the degree of market power (ability to control market and determine price) which the firm commands and the strategies to be followed in market management under the given competitive conditions such as product design and marketing. Price theory explains how prices are determined under different kinds of market conditions and assists the firm in framing suitable price policies.

(e) **Resource Allocation :** Business Economics, with the help of advanced tools such as linear programming, enables the firm to arrive at the best course of action for optimum utilisation of available resources.

(f) **Theory of Capital and Investment Decisions :** For maximising its profits, the firm has to carefully evaluate its investment decision and carry out a sensible policy of capital allocation. Theories related to capital and investment provides scientific criteria for choice of investment projects and in assessment of the efficiency of capital. Business Economics supports decision making on allocation of scarce capital among the competiting uses of funds.

(g) **Profit Analysis :** Profits are most often, uncertain due to changing prices and market conditions. Profit theory guides the firms in the measurement and management of profits under conditions of uncertainty Profit analysis is also immensely useful in future profit planning.

(h) **Risk and Uncertainty Analysis :** Business firms generally operate under conditions of risk and uncertainty. Analysis of risks and uncertainties helps the business firms in arriving at efficient decisions and in formulating plans on the basis of past data, current information and future prediction.

2. **Macro Economics Applied to External or Environmental Issues.**

Environmental factors have significant influence upon the functioning and performance of business. The major macro-economic factors related to -

(a) The type of economic system - Capitalism, socialism or mixed economy.

(b) Stages of business cycle - Inflation, recession, deflation or recovery.

(c) The general trends in national income, employment, prices, saving and investment.

(d) Socio-economic organisations like - Trade Union, Producer and Consumer Union and Co-operatives.

(e) Government's economic policies like - Industrial Policy, Competition Policy, Fiscal Policy, Monetary Policy, Foreign Trade Policy and Globalisation policies.

(f) Working of Central Banks and Financial sector and capital market and their regulation.

(g) Environmental factors - Environmental factors have significant influence upon the functioning and performance of business. The major macro-economic factors related to-

P = Political Environment

E = Economic Environment

S = Social Environment

T = Technological Environment

L = Legal Environment

E = Ecological Environment